INDUSTRY-SPECIFIC FINANCIAL RATIOS

Learning Outcome

- describe the uses of industry-specific ratios used in financial analysis

As stated earlier, a universally accepted definition and classification of ratios does not exist. The purpose of ratios is to serve as indicators of important aspects of a company's performance and value. Aspects of performance that are considered important in one industry may be irrelevant in another, and industry-specific ratios reflect these differences. For example, companies in the retail industry may report same-store sales changes because, in the retail industry, it is important to distinguish between growth that results from opening new stores and growth that results from generating more sales at existing stores. Industry-specific metrics can be especially important to the value of equity in early-stage industries, where companies are not yet profitable.

In addition, regulated industries—especially in the financial sector—often are required to comply with specific regulatory ratios. For example, the banking sector's liquidity and cash reserve ratios provide an indication of banking liquidity and reflect monetary and regulatory requirements. Banking capital adequacy requirements attempt to relate banks' solvency requirements directly to their specific levels of risk exposure.

Exhibit 36 presents, for illustrative purposes only, some industry-specific ratios.[2]

Exhibit 36: Definitions of Some Common Industry-Specific Ratios

Ratio	Numerator	Denominator
Business Risk		
Coefficient of variation of operating income	Standard deviation of operating income	Average operating income
Coefficient of variation of net income	Standard deviation of net income	Average net income
Coefficient of variation of revenues	Standard deviation of revenue	Average revenue

Financial Sector Ratios	Numerator	Denominator
Capital adequacy—banks	Various components of capital	Various measures such as risk-weighted assets, market risk exposure, or level of operational risk assumed
Monetary reserve requirement (Cash reserve ratio)	Reserves held at central bank	Specified deposit liabilities
Liquid asset requirement	Approved "readily marketable" securities	Specified deposit liabilities
Net interest margin	Net interest income	Total interest-earning assets

Retail Ratios	Numerator	Denominator
Same (or comparable) store sales	Average revenue growth year over year for stores open in both periods	Not applicable
Sales per square meter (or square foot)	Revenue	Total retail space in square meters (or square feet)

Hotel	Numerator	Denominator
Average daily rate	Room revenue	Number of rooms sold
Occupancy rate	Number of rooms sold	Number of rooms available

Subscription or Relationship-Based Businesses	Numerator	Denominator
Average revenue per user (ARPU)	Revenue	Average number of subscribers or users

Note: Many other industry-specific ratios are outside the scope of this module. Resources such as Standard and Poor's Industry Surveys present useful ratios for each industry. Industry organizations may present useful ratios for the industry or a task specific to the industry.

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